Ref: Syn/CS/SE/PR/2026-27/Oct/07

Syngene International Limited
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Karnataka, India.
T +91 80 6891 9191
CIN: L85110KA1993PLC014937
www.syngeneintl.com

October 27, 2026

To, The Manager, BSE Limited Corporate Relationship Department Dalal Street, Mumbai – 400 001	To, The Manager, National Stock Exchange of India Limited Corporate Communication Department Bandra (EAST), Mumbai – 400 051
Scrip Code: 539268	**Scrip Symbol: SYNGENE**

Dear Sir/Madam,

Sub: Press Release in respect of financial results for the quarter and half year ended September 30, 2026.

With reference to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the press release titled **"Syngene reports sequential revenue growth of 13% in Q2 FY27; Operating EBITDA margin improves by 6 percentage points"**

The above-mentioned press release will also be available on the website of the Company www.syngeneintl.com.

This is for your information and records.

Thanking You,

Yours faithfully,

For **SYNGENE INTERNATIONAL LIMITED**

CHETHAN YOGESH
Digitally signed by CHETHAN YOGESH
Date: 2026.10.27 20:31:11 +05'30'

Chethan Yogesh
Company Secretary and Compliance Officer

Enclosed: Press Release along with fact sheet

Syngene

PRESS RELEASE

Syngene reports sequential revenue growth of 13% in Q2 FY27; Operating EBITDA margin improves by 6 percentage points

Bengaluru, October 27, 2026: Syngene International Limited today announced financial results for the second quarter and half year of FY27.

Quarterly Financial Highlights (All numbers are in Indian Rupees in Crore (Cr))

	Q2 FY27	Q1 FY27	Q2 FY26
Revenue from Operations	833	736	911
Operating EBITDA	147	91	200
Operating EBITDA margin (%)	18%	12%	22%
PAT before exceptional item	38[1]	1	67
PAT Margin (%) before exceptional item	4%	0%	7%
PAT after exceptional item	32	-9	67

[1]Excludes expenses of Rs 6 Cr (net of tax) recognised under Exceptional Items related to termination benefits extended to employees in accordance with the approved policy.

H1 FY27 Financial Highlights (All numbers are in Indian Rupees in Crore (Cr))

	H1 FY27	H1 FY26
Revenue from Operations	1,569	1,785
Operating EBITDA	238	406
Operating EBITDA margin (%)	15%	23%
PAT before exceptional item	39[1]	154
PAT Margin (%) before exceptional item	2%	8%
PAT after exceptional item	23	154

[1]Excludes expenses of Rs 16 Cr (net of tax) recognised under Exceptional Items related to termination benefits extended to employees in accordance with the approved policy.

Executive Chairperson, Kiran Mazumdar-Shaw, said, *"Syngene's strategic priority remains to strengthen its position as an integrated research, development and manufacturing partner to the global life sciences industry, with a renewed emphasis on differentiated, high-value services and CDMO capabilities as key drivers of long-term growth.*

It is encouraging to see early signs of progress in this direction, with improved performance in our CDMO business and growing customer engagement across our development and manufacturing services. This reinforces our confidence in the long-term potential of our investments in global manufacturing infrastructure, advanced capabilities and emerging modalities."

Commenting on the performance, **Managing Director and CEO, Siddharth Mittal** said, *"Our second quarter saw sequential revenue growth of 13%, supported by positive traction in our CDMO business. Operating EBITDA margin improved by 6 percentage points, while PAT stood at Rs.32 crore, compared with a loss of Rs.9 crore in the preceding quarter.*

On a year-on-year basis, revenue declined 9%, while operating EBITDA margin stood at 18%, in line with expectations, primarily reflecting lower Zoetis revenues and forex hedge losses. Adjusted for the forex hedge loss, the operating EBITDA margin would be in the mid-20s range for the quarter.

A key highlight of the quarter was the signing of our first manufacturing agreement for the Bayview biologics facility in the U.S., strengthening our global manufacturing capabilities.

Our focus remains on enhancing our integrated drug discovery offering, sharpening our commercial execution, improving asset utilization and cost competitiveness, and translating our scientific capabilities into sustainable business growth."

Key Business Highlights:

- **Integrated Drug Discovery (IDD)**: Syngene strengthened its integrated drug discovery offering by bringing its Chemistry, Biology and Biotherapeutics capabilities under a unified leadership. Effective October 1, 2026, Dr. Jayashree Aiyar, Chief Scientific Officer, assumed additional responsibility for Discovery Services. The move is aimed at delivering a more comprehensive drug discovery offering to customers.

  As part of this transition, Subhendu Kumar, Head of Chemistry and Priyaranjan Pattanaik, Head of Biology, will be moving on from Syngene at the end of November and December respectively.
- **Bayview Biologics Facility**: Syngene signed its first manufacturing agreement for the Bayview biologics facility with a large pharmaceutical customer, marking an important milestone in the Company's large molecule manufacturing journey. The engagement strengthens Syngene's integrated India-U.S. delivery model, with process development activities scheduled to begin in India this fiscal, and drug substance manufacturing at Bayview expected to begin in the next financial year. The agreement reinforces the facility's strategic role in enabling dual-continent supply chains for global biologics customers.
- **Biologics Manufacturing**: The Company continued to secure additional manufacturing contracts, including an agreement for clinical supplies from its biologics manufacturing facility in Bengaluru (Unit 3). These engagements reflect encouraging customer traction and progress in building a broader pipeline for our manufacturing business.
- **Emerging Modalities:** Syngene successfully completed a complex oligonucleotide manufacturing program for a leading global pharmaceutical company. The engagement involved the development and manufacture of a siRNA molecule requiring specialized expertise in oligonucleotide technology, process optimization and scale-up, underscoring the Company's track record in delivering high-value programs for global clients.
- **Capability Enhancement:** Syngene commissioned a new Clinical Translational Sciences (CTS) Laboratory in Bengaluru, bringing together clinical biomarker development and validation, biobanking, patient stratification, precision medicine and bioanalytical capabilities within an integrated ecosystem. The facility strengthens Syngene's ability to connect discovery research, development, bioanalysis and clinical research, supporting clients across the drug development continuum.
- **Artificial Intelligence and Automation:** Continuing its investments in AI, automation and digital technologies, Syngene strengthened its digital capabilities across Discovery Services. The Company implemented ChemVoyager, an AI-enabled synthesis planning platform, alongside

automated analytical systems and end-to-end sample tracking solutions, enabling more connected, efficient and data-driven research workflows.

- **Cost Competitiveness**: Syngene continued to implement various cost optimization initiatives aimed at improving operational efficiency. Manpower related cost optimization has been completed, while initiatives focused on non-manpower costs will continue. The benefits from these measures will be realized over the coming quarters.
- **Recognition for Digital Innovation:** Syngene's Central Compound Management (CCM) team received the Platinum Award at the 12th CII National Kaizen Circle Competition 2026. The recognition was awarded for a digital innovation initiative that enhanced automation, strengthened data integrity and improved operational efficiency across compound management workflows.
- **Leadership Transition:** Deepak Jain, Chief Financial Officer, has decided to move on from Syngene for personal reasons, and will pursue an opportunity outside the Company. Deepak will continue in his current role, at least until the close of the third quarter's financial results, to support a smooth transition of his responsibilities and ensure continuity. The Company thanks Deepak for his contributions and wishes him success in his future endeavours.

Earnings Call: Syngene will host its Q2 FY27 results conference call for analysts and investors at 9:00 am IST on Wednesday, October 28, 2026. The senior management team will discuss the Company's performance for the quarter ended September 30, 2026, and answer questions from participants. The call will be conducted via Zoom. Participants can join using the registration link and are requested to connect ten minutes before the scheduled start time. An audio recording will be made available on the Company's website before the next trading day or within 24 hours of the conclusion of the call, whichever is earlier. The conference call transcript will be posted within seven working days of the call. Both will be available under Syngene > Investors > Financial Information.

About Syngene: Syngene International Ltd. (BSE: 539268, NSE: SYNGENE, ISIN: INE 398R01022) is an integrated research, development, and manufacturing services company serving the global pharmaceutical, biotechnology, nutrition, animal health, consumer goods, and specialty chemical sectors. Syngene's team of over 8,300 employees including 5,700+ scientists, brings both deep expertise and the capacity to deliver scientific excellence, robust data security, and world class manufacturing, at speed, to improve time-to market and lower the cost of innovation. With over 3 million sq. ft of specialized discovery, development, and manufacturing facilities across India and the U.S., Syngene works with approximately 400 global customers across industry segments, including biotech companies pursuing leading-edge science and multinationals such as BMS, GSK, Zoetis, and Merck KGaA. For more details, visit www.syngeneintl.com. For the Company's latest Environmental, Social, and Governance (ESG) report, visit Syngene ESG Report.

Media Contact	Investor Contact
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SYNGENE GROUP

FACT SHEET

Financial results for the quarter and period ended 30 September 2026

(Consolidated)



SYNGENE INTERNATIONAL LIMITED (CONSOLIDATED)

BALANCE SHEET **(Rs. Millions**

	30 September 2026	31 March 2026
ASSETS		
Non-current assets		
Property, plant and equipment	24,475	25,454
Capital work-in-progress	11,406	10,404
Right-of-use assets	3,639	3,845
Investment property	210	315
Other intangible assets	431	386
Intangible assets under development	47	53
Financial assets		
(i) Investments	2,005	2,863
(ii) Derivative assets	248	317
(iii) Other financial assets	1,946	3,116
Deferred tax assets (net)	930	1,007
Income tax assets (net)	1,548	1,088
Other non-current assets	219	133
Total non-current assets	**47,104**	**48,981**
Current assets		
Inventories	1,678	1,413
Financial assets		
(i) Investments	4,093	4,610
(ii) Trade receivables	3,855	5,088
(iii) Cash and cash equivalents	1,199	2,286
(iv) Bank balances other than (iii) above	8	2,021
(v) Derivative assets	26	69
(vi) Other financial assets	6,765	4,247
Other current assets	1,857	1,687
Total current assets	**19,481**	**21,421**
Total assets	**66,585**	**70,402**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	4,037	4,029
Other equity	44,551	44,362
Total equity	**48,588**	**48,391**
LIABILITIES		
Non - current liabilities		
Financial liabilities		
(i) Lease liabilities	4,193	4,303
(ii) Derivative liabilities	196	488
(iii) Other financial liabilities	2	1
Provisions	-	180
Other non-current liabilities	1,777	1,979
Total non-current liabilities	**6,168**	**6,951**
Current liabilities		
Financial liabilities		
(i) Borrowings	672	94
(ii) Lease liabilities	209	187
(iii) Trade payables	3,033	2,809
(iv) Derivative liabilities	1,043	1,145
(v) Other financial liabilities	1,282	1,775
Provisions	832	1,144
Current tax liabilities (net)	84	98
Other current liabilities	4,674	7,808
Total current liabilities	**11,829**	**15,060**
Total equity and liabilities	**66,585**	**70,402**

(Rs. Millions)

KEY FINANCIAL INFORMATION

		FY26	FY27	Movement %
Revenue from operations	*Rs. Mn*	**17,851**	**15,687**	(12.1)
EBITDA from operations	*Rs. Mn*	**4,059**	**2,382**	(41.3)
EBITDA from operations margin	*%**	**22.7**	**15.2**	-755bps
EBIT from operations	*Rs. Mn*	**1,782**	**143**	(92.0)
EBIT from operations margin	*%**	**10.0**	**0.9**	-907bps
PAT	*Rs. Mn*	**1,538**	**388**	(74.7)
PAT margin	*%*	**8.5**	**2.4**	-606bps

		FY26	FY27	Movement %
Revenue from operations	*Rs. Mn*	**17,851**	**15,687**	(12.1)
Other income	*Rs. Mn*	**331**	**533**	61.1
Reported revenue	***Rs. Mn***	**18,182**	**16,220**	(10.8)
Material costs	*Rs. Mn*	**(4,561)**	**(3,720)**	(18.4)
	*%**	**(25.6)**	**(23.7)**	183bps
Staff costs	*Rs. Mn*	**(5,989)**	**(5,615)**	(6.3)
	*%**	**(33.6)**	**(35.8)**	-224bps
Other direct costs#	*Rs. Mn*	**(511)**	**(592)**	15.9
	*%**	**(2.9)**	**(3.8)**	-91bps
Other expenses	*Rs. Mn*	**(2,565)**	**(2,262)**	(11.8)
	*%**	**(14.4)**	**(14.4)**	-5bps
Foreign exchange fluctuation gain/(loss), net	*Rs. Mn*	**(166)**	**(1,115)**	571.9
EBITDA	***Rs. Mn***	**4,390**	**2,915**	(33.6)
Depreciation and amortisation expenses	*Rs. Mn*	**(2,277)**	**(2,239)**	(1.7)
EBIT	***Rs. Mn***	**2,113**	**676**	(68.0)
Finance costs	*Rs. Mn*	**(248)**	**(196)**	(21.0)
PBT	***Rs. Mn***	**1,865**	**480**	(74.2)
Tax **	*Rs. Mn*	**(327)**	**(92)**	(71.9)
PAT	*Rs. Mn*	**1,538**	**388**	(74.7)
Exceptional item (net of tax)	*Rs. Mn*	**-**	**(156)**	-
PAT after exceptional item	*Rs. Mn*	**1,538**	**232**	(84.9)

includes power, utility and clinical trial cost

* % over revenue from operations

**Normalized tax before exceptional items

Note: Exceptional item (net of tax) -

- For FY 27 - pertains to costs on account of termination benefits payable.

(Rs. Millions)

KEY FINANCIAL INFORMATION

		FY26 Q2	FY27 Q2	Movement %
Revenue from operations	*Rs. Mn*	**9,106**	**8,327**	(8.6)
EBITDA from operations	*Rs. Mn*	**1,995**	**1,475**	(26.1)
EBITDA from operations margin	*%**	**21.9**	**17.7**	-420bps
EBIT from operations	*Rs. Mn*	**830**	**358**	(56.9)
EBIT from operations margin	*%**	**9.1**	**4.3**	-482bps
PAT	*Rs. Mn*	**671**	**377**	(43.7)
PAT margin	*%*	**7.2**	**4.4**	-286bps

		FY26 Q2	FY27 Q2	Movement %
Revenue from operations	*Rs. Mn*	**9,106**	**8,327**	(8.6)
Other income	*Rs. Mn*	**154**	**280**	81.8
Reported revenue	***Rs. Mn***	**9,260**	**8,607**	(7.1)
Material costs	*Rs. Mn*	**(2,385)**	**(1,986)**	(16.7)
	*%**	**(26.2)**	**(23.9)**	234bps
Staff costs	*Rs. Mn*	**(3,075)**	**(2,801)**	(8.9)
	*%**	**(33.8)**	**(33.6)**	13bps
Other direct costs#	*Rs. Mn*	**(251)**	**(293)**	17.0
	*%**	**(2.8)**	**(3.5)**	-77bps
Other expenses	*Rs. Mn*	**(1,282)**	**(1,158)**	(9.7)
	*%**	**(14.1)**	**(13.9)**	18bps
Foreign exchange fluctuation gain/(loss), net	*Rs. Mn*	**(118)**	**(614)**	420.6
EBITDA	***Rs. Mn***	**2,149**	**1,754**	(18.4)
Depreciation and amortisation expenses	*Rs. Mn*	**(1,165)**	**(1,117)**	(4.1)
EBIT	***Rs. Mn***	**984**	**637**	(35.2)
Finance costs	*Rs. Mn*	**(132)**	**(100)**	(24.3)
PBT	***Rs. Mn***	**852**	**537**	(36.9)
Tax**	*Rs. Mn*	**(181)**	**(160)**	(11.6)
PAT	*Rs. Mn*	**671**	**377**	(43.7)
Exceptional item (net of tax)	*Rs. Mn*	**-**	**(55)**	N/a
PAT after exceptional item	*Rs. Mn*	**671**	**322**	(52.0)

includes power, utility and clinical trial cost

* % over revenue from operations

**Normalized tax before exceptional items

Note: Exceptional item (net of tax) -

- For FY 27 - pertains to costs on account of termination benefits payable.

(Rs. Millions)

KEY FINANCIAL INFORMATION

		FY24 Q1	FY24 Q2	FY24 Q3	FY24 Q4	FY25 Q1	FY25 Q2	FY25 Q3	FY25 Q4	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1	**FY27 Q2**
Revenue from operations	*Rs. Mn*	8,081	9,101	8,535	9,169	7,897	8,910	9,437	10,180	8,745	9,106	9,171	10,365	7,360	**8,327**
EBITDA from operations	*Rs. Mn*	2,119	2,540	2,315	3,169	1,698	2,448	2,836	3,436	2,064	1,996	2,092	3,034	908	**1,475**
EBITDA from operations margin	*%**	26.2	27.9	27.1	34.6	21.5	27.5	30.1	33.8	23.6	21.9	22.8	29.3	12.3	**17.7**
EBIT from operations	*Rs. Mn*	1,098	1,494	1,234	2,059	629	1,339	1,749	2,375	952	830	955	1,919	(214)	**358**
EBIT from operations margin	*%**	13.6	16.4	14.5	22.5	8.0	15.0	18.5	23.3	10.9	9.1	10.4	18.5	(2.9)	**4.3**
PAT before exceptional item	*Rs. Mn*	934	1,220	1,145	1,886	545	1,061	1,311	1,833	867	671	730	1,532	10	**377**
PAT margin	*%*	11.2	13.1	13.0	20.2	6.7	11.7	13.6	17.7	9.7	7.2	7.8	14.5	0.1	**4.4**

		FY24 Q1	FY24 Q2	FY24 Q3	FY24 Q4	FY25 Q1	FY25 Q2	FY25 Q3	FY25 Q4	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1	**FY27 Q2**
Revenue from operations	*Rs. Mn*	8,081	9,101	8,535	9,169	7,897	8,910	9,437	10,180	8,745	9,106	9,171	10,365	7,360	**8,327**
Other income (refer note 1 & 7)	*Rs. Mn*	236	216	293	161	181	165	183	189	177	154	154	222	253	**280**
Reported revenue	***Rs. Mn***	**8,317**	**9,317**	**8,828**	**9,330**	**8,078**	**9,075**	**9,620**	**10,369**	**8,922**	**9,260**	**9,325**	**10,587**	**7,613**	**8,607**
Material costs (refer note 2)	*Rs. Mn*	(2,228)	(2,672)	(2,374)	(2,028)	(2,335)	(2,366)	(2,374)	(2,350)	(2,177)	(2,385)	(2,299)	(2,331)	(1,734)	**(1,986)**
	*%**	(27.6)	(29.4)	(27.8)	(22.1)	(29.6)	(26.6)	(25.2)	(23.1)	(24.9)	(26.2)	(25.1)	(22.5)	(23.6)	**(23.9)**
Staff costs	*Rs. Mn*	(2,307)	(2,436)	(2,427)	(2,528)	(2,524)	(2,713)	(2,761)	(2,794)	(2,915)	(3,075)	(2,992)	(3,316)	(2,814)	**(2,801)**
	*%**	(28.3)	(26.5)	(28.2)	(27.3)	(32.0)	(30.4)	(29.3)	(27.4)	(33.3)	(33.8)	(32.6)	(32.0)	(38.2)	**(33.6)**
Other direct costs#	*Rs. Mn*	(275)	(275)	(254)	(246)	(255)	(241)	(253)	(221)	(260)	(251)	(258)	(260)	(299)	**(293)**
	*%**	(3.4)	(3.0)	(3.0)	(2.7)	(3.2)	(2.7)	(2.7)	(2.2)	(3.0)	(2.8)	(2.8)	(2.5)	(4.1)	**(3.5)**
Other expenses (refer note 11)	*Rs. Mn*	(997)	(998)	(1,041)	(1,098)	(1,052)	(1,185)	(1,230)	(1,333)	(1,281)	(1,282)	(1,297)	(1,216)	(1,104)	**(1,158)**
	*%**	(12.6)	(11.2)	(12.5)	(12.3)	(13.3)	(13.3)	(13.0)	(13.1)	(14.6)	(14.1)	(14.1)	(11.7)	(15.0)	**(13.9)**
Foreign exchange fluctuation gain/(loss), net	*Rs. Mn*	(155)	(179)	(124)	(100)	(33)	43	17	(46)	(48)	(118)	(233)	(209)	(501)	**(614)**
EBITDA	***Rs. Mn***	**2,355**	**2,757**	**2,608**	**3,330**	**1,879**	**2,613**	**3,019**	**3,625**	**2,241**	**2,149**	**2,246**	**3,256**	**1,161**	**1,754**
Depreciation and amortisation expenses (refer note 6 & 10)	*Rs. Mn*	(1,021)	(1,046)	(1,081)	(1,111)	(1,069)	(1,109)	(1,087)	(1,061)	(1,112)	(1,165)	(1,137)	(1,115)	(1,122)	**(1,117)**
EBIT	***Rs. Mn***	**1,334**	**1,711**	**1,527**	**2,219**	**810**	**1,504**	**1,932**	**2,564**	**1,129**	**984**	**1,109**	**2,141**	**39**	**637**
Finance costs	*Rs. Mn*	(105)	(130)	(108)	(129)	(117)	(131)	(124)	(159)	(116)	(132)	(119)	(121)	(96)	**(100)**
PBT	***Rs. Mn***	**1,229**	**1,581**	**1,419**	**2,090**	**694**	**1,373**	**1,808**	**2,405**	**1,013**	**852**	**990**	**2,020**	**(57)**	**537**
Tax (refer note 3 & 8)	*Rs. Mn*	(295)	(361)	(274)	(204)	(149)	(312)	(497)	(572)	(146)	(181)	(261)	(488)	67	**(160)**
PAT before exceptional item	*Rs. Mn*	**934**	**1,220**	**1,145**	**1,886**	**545**	**1,061**	**1,311**	**1,833**	**867**	**671**	**730**	**1,532**	**10**	**377**
Exceptional item (refer note 4, 5, 12 & 13)	*Rs. Mn*	-	(55)	(30)	-	212	-	-	-	-	-	(579)	(72)	(100)	**(55)**
PAT after exceptional item	*Rs. Mn*	**934**	**1,165**	**1,115**	**1,886**	**757**	**1,061**	**1,311**	**1,833**	**867**	**671**	**150**	**1,460**	**(90)**	**322**

includes power, utility and clinical trial cost

* % over revenue from operations

Notes:

Note 1. Q3FY24: The Company recorded Interest income on income tax refund of Rs 158 million pursuant to Income Tax Tribunal order for Financial Years 2009-10 and 2010-11 and the same has been presented as income in the financial results under the head 'Other Income'.

Note 2. Q4FY24: Reversal of inventory provisions created in prior quarters (Rs 203 Mn) of FY24. This relates to reassessment of inventory provisioning classified as a change in accounting estimate.

Note 3. Q4FY24: Reversal of tax provision amounting to Rs 232 Mn based on favourable tax assessment orders received during the quarter.

Note 4. Exceptional item (net of tax) in FY24 (Q2 and Q3) pertains to transaction costs relating to the acquisition of multi modal facility (Unit 3) of Stelis Biopharma Limited (SBL)

Note 5. Q1FY25: Pursuant to a fire incident on 12 December 2016, the Company has received its final claim from the insurance company for the loss of fixed assets and the same has been presented 'net of tax' in the financial results under the head 'Exceptional Items'.

Note 6. Following a technical evaluation, revised the estimated useful life of its manufacturing assets, which include Plant and Machinery and Equipment, effective from April 1, 2024. As a result of this change in accounting estimate, the depreciation expense for these assets has decreased by INR 206 million for the year.

Note 7. Q3FY25 the company recorded Interest income on income tax refund of Rs 24 million for Financial Year 2020-21 and the same has been presented as income in the financial results under the head 'Other Income'.

Note 8. Q3FY25 the Company has opted for "Vivad se Vishwas Scheme, 2024" which has resulted in settlement of pending TDS assessments related to non resident tax deductions. Tax expense under the scheme (INR 95 millions) has been disclosed under the head "Current tax".

Note 9. During the quarter ended 31 March 2025, Syngene USA Inc. (wholly-owned subsidiary of the Company) has acquired biologics site in the USA fitted with multiple monoclonal antibody (mAbs) manufacturing lines from Emergent Manufacturing Operations Baltimore, LLC (a subsidiary of Emergent BioSolutions Inc.). This acquisition will increase the company's total single-use bioreactor capacity to 50,000L for large molecule discovery, development, and manufacturing services. This acquisition will also increase the options that can be offered to global customers, providing commercial scale biologics manufacturing capabilities across the Group's global network. The transaction has been accounted for as an 'asset acquisition' under Ind AS 103. The costs incurred till 31 March 2025 eligible for capitalization are being accumulated as Capital Work in Progress amounting to Rs 2,981 million (USD 34.89 million). An amount of Rs 311 million (USD 3.64 million) has been capitalized as Land. These amounts include pre-transaction costs of Rs 101 million (USD 1.18 million).

Note 10. During the quarter ended 30 June 2025, the Company has been granted license for one of the drug substance production line and bonded warehouse license at biologics manufacturing facility, Bangalore, India which was acquired from Stelis Biopharma Limited and was recorded as capital work in progress in earlier years. Consequently, Rs. 3,438 million has been capitalised as property, plant and equipment which has resulted in a higher depreciation of Rs. 36 million during the said quarter and Rs. 70 million during the Q2FY26.

Note 11. During the quarter ended 30 September 2025, Rs.277 million net (Rs. 202 million after tax) was written off as unrecoverable balances in receivables due to cumulative changes in foreign exchange rates.

Note 12. On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and Frequently Asked Questions(FAQs) to enable assessment of the financial impact due to changes in regulations. The Group initially assessed and disclosed the incremental impact of these changes on the basis its existing remuneration structure. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Group presented such incremental impact under "Exceptional Items" in the standalone and consolidated financial results for the period ended December 31, 2025. The incremental expense consisting of gratuity of Rs. 658 million and Rs. 706 million in the standalone and consolidated financial results respectively primarily arose due to change in wage definition.
During the quarter ended 31 March 2026, the management re-assessed the impact of the new labour codes based on the revised remuneration structure. Accordingly, the gratuity obligation was re-measured, resulting in a credit of Rs. 229 million in the standalone financial results and Rs. 244 million in the consolidated financial results for the current quarter.
For the year ended 31 March 2026, the net expense recognised under Exceptional Items amounted to Rs. 429 million and Rs. 462 million in the standalone and consolidated financial results, respectively.
The Group continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the Labour Code and would accordingly take necessary steps for compliance thereof and also provide appropriate accounting effect on the basis of such developments, as needed.

Note 13. During the quarter ended 31 March 2026, termination benefits amounting to Rs. 304 (net of tax Rs. 249 Mn) million were extended to employees in accordance with the approved policy. Considering the nature, significance and frequency of these benefits, these are disclosed as "Exceptional items" in the standalone and consolidated financial results. Further, during the quarter ended 30 June 2026, an additional amount of Rs. 135 million (net of tax Rs. 100 Mn) and during quarter ended 30 September 2026, an additional amount of Rs. 67 million (net of tax Rs. 55 Mn) pertaining to termination benefits has been recognized and disclosed under "Exceptional Items".